Stock Report | **February 21, 2026** | Symbol: **NYSE** | **PG** is in the S&P 500

The Procter & Gamble Company

Recommendation	Price	12-Mo. Target Price	Report Currency	Investment Style
SELL ★★★★★	USD 160.78 (as of market close Feb 20, 2026)	USD 143.00	USD	Large-Cap Value

Equity Analyst Ana Garcia

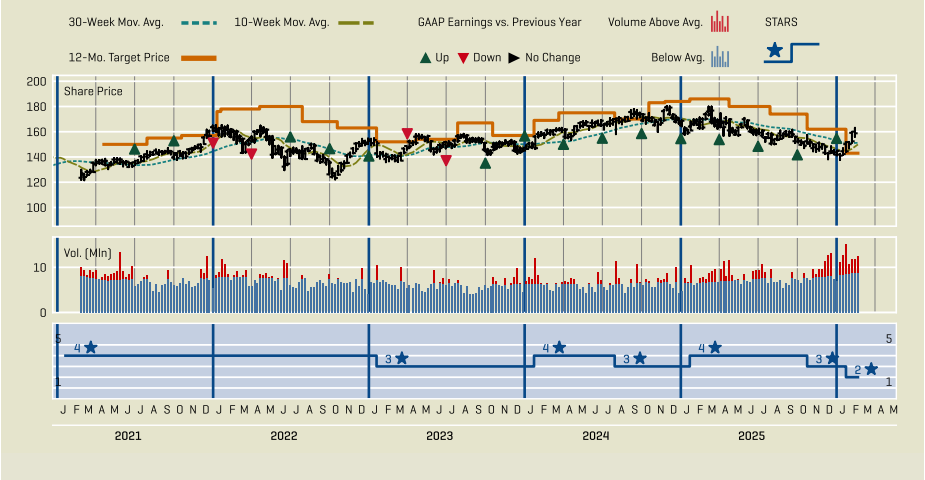
GICS Sector Consumer Staples
Sub-Industry Household Products

Summary PG is a multinational consumer goods corporation that produces a wide range of household and personal care products, including brands such as Tide, Pampers, & Crest.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

52-Wk Range	**USD 179.99 - 137.62**	Oper.EPS2026**E**	**USD 6.96**	Market Capitalization[B]	**USD 368.49**	Beta	**0.37**
Trailing 12-Month EPS	**USD 6.89**	Oper.EPS2027**E**	**USD 7.27**	Yield [%]	**2.67**	3-yr Proj. EPS CAGR[%]	**6**
Trailing 12-Month P/E	**23.34**	P/E on Oper.EPS2026**E**	**23.10**	Dividend Rate/Share	**USD 4.23**	SPGMI's Quality Ranking	**A**
USD 10K Invested 5 Yrs Ago	**13,887.0**	Common Shares Outstg.[M]	**2,324.00**	Trailing 12-Month Dividend	**USD 4.23**	Institutional Ownership [%]	**41.0**

Price Performance



Source: CFRA, S&P Global Market Intelligence

Past performance is not an indication of future performance and should not be relied upon as such.

Analysis prepared by **Ana Garcia** on Jan 23, 2026 12:57 PM ET, when the stock traded at **USD 148.25**.

Highlights

- We target 2.7% revenue growth in FY 26 (Jun.) to $86.6B after flat FY 25. Q2 FY 26 organic sales were flat, with 1% volume decline offset by pricing. North America declined 2%, while Latin America grew 8% and Greater China gained 3%. PG reaffirmed flat to 4% organic growth guidance. However, intensifying competition pressures U.S. Fabric Care and Baby Care. Only 25 of top 50 category/country combinations held or grew share as value-seeking consumers consider lower-priced alternatives.
- We target 24% operating margin, down 30 bps, as P&G reinvests productivity savings. Q2 FY 26 core gross margin contracted 50 bps, with operating margin declining 70 bps despite 270 bps productivity savings. GAAP earnings face restructuring costs, although benefits emerge in FY 27 including $1.5B annual COGS and $500M SG&A savings. Further SG&A investing will limit productivity flow-through.
- We model FY 26 EPS of $6.96, up 1.8% from $6.83, and $7.27 for FY 27. P&G maintained flat to 4% core EPS guidance ($6.83-$7.09), incorporating $500M pre-tax tariff costs offset by $200M after-tax FX tailwind. P&G boasts 135 consecutive dividend years and 69 years of increases. It plans $10B dividends and $5B repurchases for FY 26.

Investment Rationale/Risk

- Our Sell view reflects intensifying competition, ambitious profitability targets and expectations versus muted growth, and a shrinking competitive advantage. Post-pandemic tailwinds dissipated, creating slower growth with the U.S. market at ~2%. P&G faces a difficult choice: defend share through promotional spending, which pressures margins, or maintain pricing and risk volume erosion. The CEO's "reinvention" strategy suggests the old model may be insufficient. Democratizing technologies allows peers to accelerate productivity, challenging P&G's moat.
- Risks include prolonged consumer slowdown, escalating tariffs, competitive response, FX headwinds, commodity volatility, appreciating U.S. dollar, and private label resurgence. Upside risks include improved consumer confidence, favorable tariff negotiations, and depreciating U.S. dollar.
- Our 12-month target of $143 uses a blended P/E (75%) and DCF (25%) valuation. P/E-derived $136 reflects 19.5x FY 26 EPS of $6.96, discounting 10-year mean of 22.8x but aligning with peers. DCF-derived $160 uses 5.6% cost of capital with 10-year operating income CAGR of ~2%. Blended approach reflects near-term headwinds while acknowledging long-term brand strength.

Analyst's Risk Assessment

LOW	MEDIUM	HIGH

Our risk assessment reflects our view of the relatively stable demand for household and personal care products. Furthermore, P&G has a diversified operating model, with five different product segments and 10 different product categories, and no segment accounts for more than 36% of total sales. P&G sells products in more than 180 countries via numerous channels and holds operation in 70 countries. The North America region accounts for 50% of total sales, with the U.S. accounting for 48% of sales alone. P&G does not hedge commodity exposure and holds significant currency exposure.

Revenue/Earnings Data

Revenue (Million USD)

	1Q	2Q	3Q	4Q	Year
2027	**E** 22,946	**E** 22,874	**E** 21,184	**E** 22,054	**E** 89,058
2026	22,386	22,208	**E** 20,567	**E** 21,411	**E** 86,572
2025	21,737	21,882	19,776	20,889	84,284
2024	21,871	21,441	20,195	20,532	84,039
2023	20,612	20,773	20,068	20,553	82,006
2022	20,338	20,953	19,381	19,515	80,187

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2027	**E** 2.04	**E** 1.95	**E** 1.67	**E** 1.61	**E** 7.27
2026	1.99	1.88	**E** 1.59	**E** 1.50	**E** 6.96
2025	1.93	1.88	1.54	1.48	6.83
2024	1.83	1.84	1.52	1.40	6.59
2023	1.57	1.59	1.37	1.37	5.90
2022	1.61	1.66	1.33	1.21	5.81

Fiscal Year ended Jun 30. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount (USD)	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
1.0568	Jan 13	Jan 23	Jan 23	Feb 17 '26
1.0568	Oct 14	Oct 24	Oct 24	Nov 17 '25
1.0568	Jul 08	Jul 18	Jul 18	Aug 15 '25
1.0568	Apr 08	Apr 21	Apr 21	May 15 '25

Dividends have been paid since 1971 . Source: Company reports

Past performance is not an indication of future performance and should not be relied as such.

Forecasts are not a reliable indicator of future performance. Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

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The Procter & Gamble Company

Business Summary Jan 23, 2026

Corporate Overview. Procter & Gamble (P&G) was founded in 1837 by William Procter and James Gamble, and later incorporated in Ohio in 1905. The company provides a variety of branded products it considers to be of superior quality and value to improve the lives of the world's consumers. Some of the major brands include Tide, Bounty, Charmin, Pampers, Cascade, Mr. Clean, Vicks, Crest, Oral-B, Old Spice, Pantene, Gillette, Head & Shoulders, and Tampax.

P&G's products are sold in more than 180 countries and territories. The U.S., Canada, and Puerto Rico account for 52% of total sales, Europe 22%, Greater China 7%, Asia-Pacific 7%, Latin America 7%, and IMEA (India, the Middle East, and Africa) 5%. P&G's largest international markets are Greater China, the U.K., Canada, Japan, and Germany, which collectively comprise approximately 21% of P&G's net sales in FY 25 (Jun.). As such, the company is exposed to and impacted by global macroeconomic factors, geopolitical tensions, U.S. and foreign government policies, and foreign exchange fluctuations. P&G's customers include mass merchandisers, e-commerce (including social commerce) channels, grocery stores, membership club stores, drug stores, department stores, distributors, wholesalers, high-frequency stores, pharmacies, electronic stores, and professional channels. Sales to Walmart and affiliates represented about 16% of total FY 25 revenue. P&G's top 10 customers accounted for about 43% of total sales in FY 25.

The company has five segments: 1) Beauty (18% of FY 25 net sales and 16% of net earnings, respectively); 2) Grooming (8%; 10%); 3) Health Care (14%; 15%); 4) Fabric and Home Care (36%; 35%); and 5) Baby, Feminine, and Family Care (24%; 24%).

Strategy. P&G's growth strategy is to deliver meaningful and noticeable superiority across five key vectors of its consumer proposition — product performance, packaging, brand communication, retail execution, and consumer and customer value. We think P&G's competitive strengths include its diverse portfolio of businesses, scale, and strong brands. With over $84 billion in annual sales, P&G has the benefit of scale, which we think provides greater sales opportunities and cost savings compared to peers. P&G has substantial brand strength, in our view, with retailers and consumers. However, we note that the markets in which P&G participates are highly competitive, with the company's products vying against similar products from many large and small companies, including well-known global competitors, as well as retailers' private label brands. In FY 25, research and development expenses were $2.1 billion. P&G's long-term algorithm targets growth ahead of market and mid- to high-single-digit EPS growth, and adjusted free cash flow productivity of 90% or greater.

P&G does not see M&A as a major part of its growth model, given its strong market positions in most categories, though it would remain open to M&A in more fragmented categories like Personal Health Care and Specialty Beauty. PG has been moderating the pace of incremental investment compared to previous years, focusing more on optimizing within its existing playbook.

Competitive Environment. P&G operates in highly competitive markets, facing both global competitors and private-label brands, with private labels gaining significant market share in North America. However, P&G's premium brands are less threatened by private labels compared to mid-tier brands due to their superior brand positioning.

Financial Trends. P&G operates on a fiscal year ending June 30. The most recent fiscal year is referred to as FY 25. FY 25 organic sales growth of +2.0% was down from +4.2% in FY 24 and +6.7% in FY 23. Adjusted EPS was up 3.7%, down from FY 24's +11.7%, and compares to FY 23's +1.5%. Adjusted free cash flow productivity registered at 87%, vs. FY 24's 105% and FY 23's 95%. Adjusted free cash flow productivity is a metric used by P&G, which is defined as the ratio of adjusted free cash flow to net earnings excluding certain one-time items.

P&G returned over $16.37 billion of value to shareholders with $9.87 billion in dividends and $6.5 billion in share repurchases.

P&G has paid a dividend for 135 consecutive years, raising its dividend for 69 consecutive years, with FY 26 expected to be the 136th and 70th consecutive year.

Corporate information

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Website
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Officers

Executive Chairman
J. R. Moeller

CEO, President & Director
S. G. Jejurikar

Senior VP & Chief Accounting Officer
M. W. Janzaruk

Chief Legal Officer & Secretary
S. S. Whaley

Chief Financial Officer
A. Schulten

Board Members

A. A. McEvoy
A. L. Chang
B. Allen
C. Arnold
C. J. Kempczinski
C. M. McCarthy
D. L. Lee
J. Jimenez
J. R. Moeller
M. B. Biggs
R. J. Portman
R. Subramaniam
S. Bonini
S. G. Jejurikar

Domicile
Ohio

Auditor
Deloitte & Touche LLP

Founded
1837

Employees
109,000

Stockholders
N/A

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The Procter & Gamble Company

Quantitative Evaluations

Fair Value Rank

1	2	3	4	5
LOWEST				HIGHEST

Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).

Fair Value Calculation **USD 155.38** Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that PG is overvalued by USD 5.40 or 3.36%

Volatility LOW | AVERAGE | HIGH

Technical Evaluation **BULLISH** Since February, 2026, the technical indicators for PG have been BULLISH"

Insider Activity UNFAVORABLE | NEUTRAL | FAVORABLE

Expanded Ratio Analysis

	2025	2024	2023	2022
Price/Sales	4.64	4.85	4.60	4.55
Price/EBITDA	15.99	17.10	17.57	17.18
Price/Pretax Income	19.39	21.73	20.54	20.29
P/E Ratio	23.33	25.03	25.72	24.75
Avg. Diluted Shares Outstg. (M)	2,454.40	2,471.90	2,483.90	2,539.10

Figures based on fiscal year-end price

Key Growth Rates and Averages

Past Growth Rate (%)	1 Year	3 Years	5 Years
Net Income	7.36	2.71	4.16
Sales	0.29	1.67	3.50
Ratio Analysis (Annual Avg.)			
Net Margin (%)	18.95	18.18	18.34
% LT Debt to Capitalization	28.63	29.57	29.33
Return on Equity (%)	31.24	31.10	31.13

Company Financials Fiscal year ending Jun 30

Per Share Data (USD)	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Tangible Book Value	-5.26	-5.46	-7.83	-7.37	-7.84	-7.29	-7.27	-7.11	-5.76	-4.71
Free Cash Flow	5.98	7.00	5.82	5.63	6.32	5.76	4.75	4.41	3.51	4.40
Earnings	6.51	6.02	5.90	5.81	5.50	4.96	1.43	3.67	3.69	3.49
Earnings (Normalized)	6.83	6.59	5.90	5.81	5.66	5.12	4.52	4.22	3.92	3.67
Dividends	4.08	3.83	3.68	3.52	3.24	3.03	2.90	2.79	2.70	2.66
Payout Ratio (%)	61.80	62.58	61.41	59.49	57.76	59.79	192.00	74.97	47.21	70.77
Prices: High	180.43	169.41	158.11	165.35	146.92	128.09	112.63	94.67	92.00	84.80
Prices: Low	156.58	141.45	122.18	129.50	117.80	94.34	77.42	70.73	81.18	65.02
P/E Ratio: High	26.40	25.70	26.80	28.50	26.00	25.00	24.90	22.40	23.50	23.10
P/E Ratio: Low	22.90	21.50	20.70	22.30	20.80	18.40	17.10	16.80	20.70	17.70
Income Statement Analysis (Million USD)										
Revenue	84,284	84,039	82,006	80,187	76,118	70,950	67,684	66,832	65,058	65,299
Operating Income	21,608	20,948	18,737	18,445	18,483	16,103	14,207	13,689	13,766	13,454
Depreciation + Amortization	2,847	2,896	2,714	2,807	2,735	3,013	2,824	2,834	2,820	3,078
Interest Expense	907.00	925.00	756.00	439.00	502.00	465.00	509.00	506.00	465.00	579.00
Pretax Income	20,167	18,761	18,353	17,995	17,615	15,834	6,069	13,326	13,257	13,369
Effective Tax Rate	20.30	20.20	19.70	17.80	18.50	17.20	34.70	26.00	23.10	25.00
Net Income	15,974	14,879	14,653	14,742	14,306	13,027	3,897	9,750	15,326	10,508
Net Income (Normalized)	13,213	12,884	11,391	11,199	10,975	9,828	8,953	8,117	8,540	8,080
Balance Sheet and Other Financial Data (Million USD)										
Cash	9,556	9,482	8,246	7,214	10,288	16,181	10,287	11,850	15,137	13,348
Current Assets	25,392	24,709	22,648	21,653	23,091	27,987	22,473	23,320	26,494	33,782
Total Assets	125,231	122,370	120,829	117,208	119,307	120,700	115,095	118,310	120,406	127,136
Current Liabilities	36,058	33,627	35,756	33,081	33,132	32,976	30,011	28,237	30,210	30,770
Long Term Debt	25,430	25,594	24,823	22,848	23,099	23,537	20,362	20,863	18,038	18,945
Total Capital	88,810	84,283	83,565	79,147	79,492	82,489	77,671	84,169	87,370	88,581
Capital Expenditures	3,773	3,322	3,062	3,156	2,787	3,073	3,347	3,717	3,384	3,314
Cash from Operations	17,817	19,846	16,848	16,723	18,371	17,403	15,242	14,867	12,753	15,435
Current Ratio	0.70	0.73	0.63	0.65	0.70	0.85	0.75	0.83	0.88	1.10
% Long Term Debt of Capitalization	28.60	30.40	29.70	28.90	29.10	28.50	26.20	24.80	20.60	21.40
% Net Income of Revenue	19.00	17.70	17.90	18.40	18.80	18.40	5.80	14.60	23.60	16.10
% Return on Assets	10.91	10.77	9.84	9.75	9.63	8.54	7.61	7.17	6.95	6.55
% Return on Equity	31.20	30.70	31.40	31.60	30.70	27.70	7.90	18.20	17.90	16.60

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

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The Procter & Gamble Company

Sub-Industry Outlook

Our 12-month fundamental outlook on the household products sub-industry is neutral. While we recognize the defensive characteristics and strong brand equity of leading players, we expect continued headwinds from cautious consumer behavior and muted category growth to persist throughout 2026. The sub-industry faces a challenging environment where success will be determined by execution excellence rather than favorable market tailwinds.

The sub-industry includes major players across cleaning products (e.g., Clorox, P&G), personal care (e.g., Colgate-Palmolive, Unilever), paper products (e.g., Kimberly-Clark), and diversified household goods (e.g., Church & Dwight). Recent quarterly results show a consistent pattern: mix and price improvements, offsetting volume deceleration across most participants. This dynamic reflects companies' ability to maintain pricing discipline while consumers increasingly seek value through larger pack sizes and extended purchase cycles.

Consumer behavior is fundamentally shifting toward value-seeking and trip extension. We expect consumers to continue stretching purchase intervals, particularly as U.S. spending on non-durable goods is projected to decelerate to slightly above 1% in 2026. This creates a structural headwind for volume growth, forcing companies to rely heavily on innovation and premium positioning to drive top-line performance.

Innovation remains the primary growth engine in this slow-growth environment. Companies with robust pipelines are best positioned to outperform category growth rates. However, the competitive environment is intensifying as players fight for share in stagnant categories, leading to increased promotional activity that pressures near-term margins.

Operational efficiency and technology adoption are critical defensive strategies. Leading companies are implementing significant restructuring programs and leveraging AI to drive productivity gains. These cost savings are essential to fund innovation investments and maintain competitive marketing spend while protecting profitability in a margin-pressured environment.

Portfolio optimization is accelerating as companies focus resources on core, high-growth categories. Strategic acquisitions of on-trend brands and divestitures of underperforming assets are reshaping competitive positioning.

The sub-industry's defensive characteristics provide downside protection, but limited category growth and persistent consumer caution constrain upside potential.

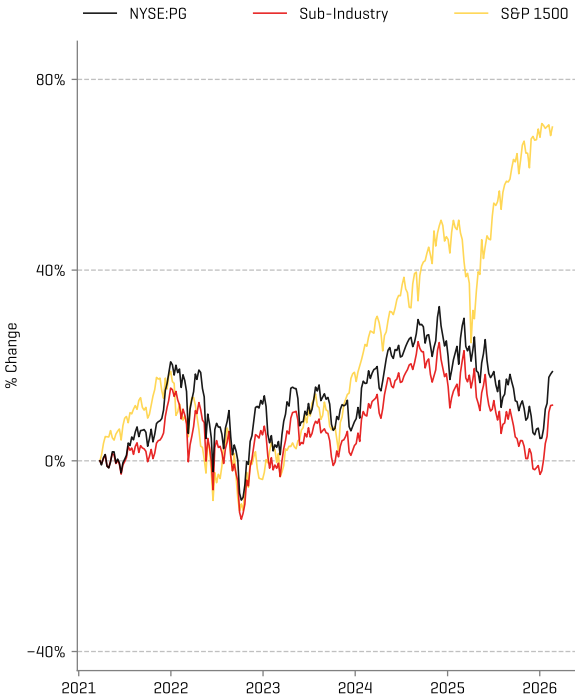
As of November 19, 2025, the household products sub-industry was down 15% YTD vs. the 1% decrease in the Consumer Staples sector and the 12% increase in the S&P Composite 1500. In 2024, the household products sub-industry increased 12% vs. the 10.7% increase in the Consumer Staples sector and the 22.9% rise for the S&P Composite 1500.

/ Ana Garcia

Industry Performance

GICS Sector: Consumer Staples
Sub-Industry: Household Products

Based on S&P 1500 Indexes
Five-Year market price performance through Feb 21, 2026



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Household Products Peer Group*: Household Products

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
The Procter & Gamble Company	**PG**	**NYSE**	**USD**	**158.56**	**368,494.0**	**7.9**	**-4.8**	**23.0**	**155.38**	**2.7**	**31.6**	**28.4**
Central Garden & Pet Company	CENT	NasdaqGS	USD	39.08	2,205.0	22.9	3.9	16.0	37.85	N/A	10.1	39.7
Church & Dwight Co., Inc.	CHD	NYSE	USD	103.25	24,439.0	12.0	-1.1	29.0	83.90	1.2	17.6	34.5
Colgate-Palmolive Company	CL	NYSE	USD	93.98	75,754.0	10.0	7.5	25.0	78.26	2.2	497.5	95.6
Energizer Holdings, Inc.	ENR	NYSE	USD	22.36	1,531.0	12.6	-28.6	7.0	42.17	5.4	151.3	91.7
Kimberly-Clark Corporation	KMB	NasdaqGS	USD	108.68	36,073.0	7.1	-21.2	14.0	70.13	4.7	126.6	70.2
Oil-Dri Corporation of America	ODC	NYSE	USD	63.06	919.0	12.5	46.3	17.0	N/A	1.3	21.6	12.1
Reynolds Consumer Products Inc.	REYN	NasdaqGS	USD	24.20	5,090.0	0.2	2.1	15.0	18.13	3.8	13.7	40.0
Spectrum Brands Holdings, Inc.	SPB	NYSE	USD	78.21	1,814.0	25.2	-1.8	18.0	99.71	2.4	5.3	18.6
The Clorox Company	CLX	NYSE	USD	122.22	14,778.0	11.3	-19.1	19.0	61.11	4.1	987.2	76.4
WD-40 Company	WDFC	NasdaqGS	USD	238.32	3,214.0	15.4	2.3	36.0	210.41	1.7	36.5	23.5

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

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The Procter & Gamble Company

Analyst Research Notes and other Company News

January 23, 2026
12:57 PM ET... CFRA Trims Opinion on Shares of The Procter Gamble Company to Sell from Hold (PG 148.25**):
We lower our view on P&G to Sell from Hold, with a $143 price target, down from $162. This is calculated using a blended valuation, weighted 75% toward our P/E-derived target of $136 (based on a 19.5x multiple on our FY 26 [Jun.] EPS) and 25% toward our DCF analysis. The 19.5x multiple represents a necessary discount to P&G's historical average, reflecting the current challenges. We lower our FY 26 EPS view to $6.96 (from $7.05) and our FY 27 estimate to $7.27 (from $7.39). Our downgrade stems from intensifying competition in a normalizing U.S. market, which is forcing P&G to reinvest heavily, pressuring near-term margins and making its full-year guidance appear optimistic. While the company's long-term "reinvention" strategy is necessary, its lengthy 12- to 18-month execution timeline leaves it vulnerable to market share losses as value-focused consumers respond to aggressive competitor promotions. We believe the stock's valuation does not fully reflect these heightened competitive and execution risks. / Ana Garcia

January 22, 2026
08:05 AM ET... P&G's Sales Stall as Expected; Company Reinvests to Fund Second-Half Recovery (PG 147.00***):
Procter & Gamble's (P&G) Q2 FY 26 (Jun.) organic sales remained flat as 1% pricing gains were offset by 1% volume decline, reflecting tough comparisons and consumer caution. Core EPS held steady at $1.88 despite significant margin pressure, with core gross margin declining 50 bps and core operating margin falling 70 bps due to unfavorable mix and strategic reinvestments. Beauty segment provided a bright spot with 4% organic growth supported by premiumization, although this was offset by flat performance in Fabric & Home Care and Grooming, and a 4% decline in Baby, Feminine & Family Care amid competitive pressures. Management maintained full-year guidance ranges of 0%-4% for both organic sales and Core EPS growth, signaling confidence in second-half acceleration. With commodity costs now expected to be neutral, this reflects P&G's is strategic reinvestment of cost savings into marketing and innovation to drive stronger 2H performance, as CEO Jejurikar explicitly stated confidence in delivering improved results. / Ana Garcia

October 24, 2025
04:13 PM ET... CFRA Lowers Rating to Hold from Buy on Shares of The Procter & Gamble Company (PG 152.49***):
Our 12-month target of $162, down from $174, is a blended price of our P/E valuation and our DCF valuation given the near-term headwinds. Our P/E derived target price of $141 is given a 50% weighting and reflects a 20x multiple against our FY 26 EPS view of $7.05. The P/E is a discount to the 10-year mean of 23x but is in line with its trading vs. peers. Our DCF derived target price of $183 is calculated using cost of capital of 5.3% while our operating income projections reflect a 10-year CAGR of around 2%. We raise our FY 26 EPS to $7.05 from $7.01 and cut FY 27's to $7.39 from $7.41. We move to Hold as we think PG's commitment to growing its categories via innovation will make it susceptible to temporary share losses as peers roll out promotions. The improved cost outlook positions PG favorably to support its brands and improving value share trends in the U.S., and we think consumers will prove receptive. In the long run, we expect PG to recoup losses as consumers return to PG's superior product brands. / Ana Garcia

October 24, 2025
08:24 AM ET... The Procter & Gamble Company: Holding the Line in a Tough Fight (PG 152.21****):
P&G reported Q1 FY 26 (Jun.) net sales of $22.4B (+3%) vs. the consensus of 2%, owing to 2% organic growth from 1% pricing and 1% favorable mix, while volume remained flat. Core EPS of $1.99 (+3%) beat consensus by $0.09, maintaining its annual guidance track despite margin pressures. The results demonstrate successful pricing and premiumization strategies compensating for stagnant consumer volumes in a challenging environment. Management maintained FY 26 outlook unchanged, reflecting the difficult operating environment. Beauty led performance with 6% organic growth via innovation/premiumization, while Grooming delivered solid 3% growth, offsetting flat results in Fabric & Home Care and Baby, Feminine & Family Care. Despite core gross margin declining 50 bps from unfavorable mix and reinvestments, P&G protected operating margins through 90 bps of SG&A productivity savings. We view the quarter as validating P&G's ability to navigate difficult conditions through pricing discipline and operational efficiency. / Ana Garcia

July 29, 2025
06:04 PM ET... CFRA Affirms Buy View on Shares of The Procter & Gamble Company (PG 157.11****):
Our 12-month target price of $174, down from $180, is a blended price target of our P/E valuation and our DCF valuation given the near-term headwinds pressuring performance. Our P/E derived target price of $168 is given a 20% weighting and reflects a 24x multiple against our FY 26 EPS view. The P/E is in line with the five-year P/E mean but a premium to the peer average of 21.3x. Our DCF derived target price of $176 is calculated using cost of capital of 5.7% while our EBIT projections reflect a 10-year CAGR of ~2%. We revise our FY 26 EPS to $7.01 from $7.12 and start FY 27 at $7.41. While PG experienced a modest decline in global share in FQ4, PG's restructuring strategy underscores its focus on long-term sustainable advantage over short-term promotional tactics. We think the two-year restructuring program positions PG to emerge a more agile, focused organization. PG's defensive portfolio, unmatched scale, and productivity initiatives, provides flexibility to navigate tariff headwinds while maintaining its dividend legacy. / Ana Garcia

July 29, 2025
08:58 AM ET... Strong Q4 FY 25 Beat Despite Headwinds; Cautious FY 26 Outlook (PG 158.30****):
PG delivered Q4 FY 25 (Jun.) organic sales growth of 2%, exceeding consensus of 1.85%, boosted by pricing (+1%) and favorable mix (+1%) with flat volumes. Core EPS growth of ~6% beat consensus expectations of 1.4% as productivity savings of 240 bps offset headwinds from unfavorable mix and higher costs. The performance validates management's strategy of investing in superiority and operational excellence in funding growth while expanding profitability. Management provided cautious FY 26 guidance of 0-4% organic sales and core EPS growth, versus consensus expectations of ~3.0% and 2.5%, respectively. The conservative outlook reflects substantial headwinds totaling ~$0.39 per share, including $1B in tariff costs and commodity/interest pressures, partially offset by favorable FX. Despite near-term challenges, PG targets $10B in dividends and $5B in repurchases for FY 26. We expect FY 26 to follow PG's track record of beating expectations (average of ~$0.05 per share) given the conservatism built into guidance. / Ana Garcia

April 24, 2025
12:35 PM ET... CFRA Keeps Buy Opinion on Shares of The Procter & Gamble Company (PG 167.88****):
Our 12-month target of $180 was calculated using a blended price target of our P/E valuation and our DCF valuation given near-term headwinds that are pressuring long-term opportunities. We trim our FY 25 EPS view to $6.76 from $6.98 and FY 26's to $7.12 from $7.44. We assign a 40% weight to our P/E-based target of $157, which applies a 22x multiple, above the peer median, to our FY 26 EPS view of $7.12. The other 60% comes from our DCF-derived target of $196, using a 5% cost of capital and a 10-year EBIT CAGR of ~1.5%, vs. consensus' 4%. Despite consumer slowdown, PG's brands are holding or growing share in most key markets while private label continues to decline, validating PG's superiority strategy. P&G's international brands are often perceived as local, providing insulation from trade tensions. While facing $1B-$1.5B in annualized tariff impacts, PG's manufacturing investments, supply chain proximity to markets, and productivity program position it to navigate challenges better than peers, in our view. / Ana Garcia

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

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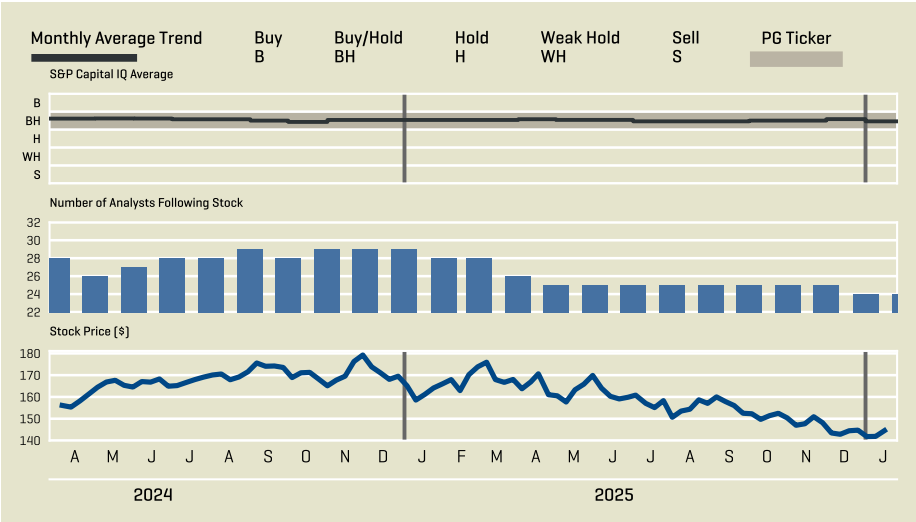
The Procter & Gamble Company

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	9	38	9	10
Buy/Hold	5	21	5	4
Hold	9	38	10	10
Weak hold	1	4	0	0
Sell	0	0	0	0
No Opinion	0	0	0	1
Total	24	100	24	25

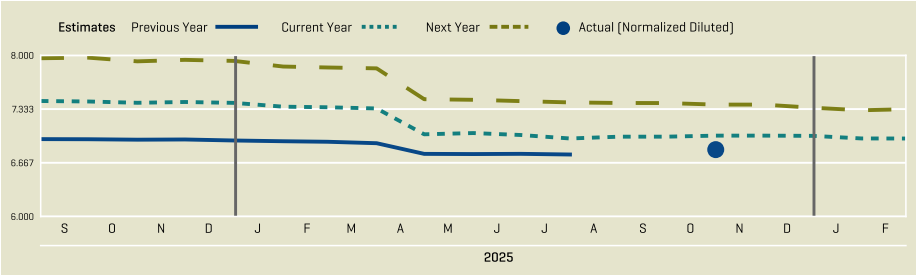
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2026, analysts estimate that PG will earn USD 6.97. For fiscal year 2027, analysts estimate that PG's earnings per share will grow by 5.22% to USD 7.33.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2027	7.33	7.55	7.25	21	21.62
2026	6.97	7.01	6.90	21	22.75
2027 vs. 2026	▲ 5%	▲ 8%	▲ 5%	N/A%	▼ -5%
Q3'27	1.66	1.71	1.63	11	95.35
Q3'26	1.57	1.58	1.55	17	101.00
Q3'27 vs. Q3'26	▲ 6%	▲ 8%	▲ 5%	▼ -35%	▼ -6%

Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

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The Procter & Gamble Company

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs (American Depositary Receipts), and ADSs (American Depositary Shares) based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS (Stock Appreciation Ranking System), equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark (e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)), based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

(also known as **S&P Capital IQ Earnings & Dividend Rankings**) - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsulize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+	Highest	B	Below Average
A	High	B-	Lower
A	Above	C	Lowest
B+	Average	D	In Reorganization
NC	Not Ranked		

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus (average) EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
CAPEX - Capital Expenditures
CY - Calendar Year
DCF - Discounted Cash Flow
DDM - Dividend Discount Model
EBIT - Earnings Before Interest and Taxes
EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
EPS - Earnings Per Share
EV - Enterprise Value
FCF - Free Cash Flow
FFO - Funds From Operations
FY - Fiscal Year
P/E - Price/Earnings
P/NAV - Price to Net Asset Value
PEG Ratio - P/E-to-Growth Ratio
PV - Present Value
R&D - Research & Development
ROCE - Return on Capital Employed
ROE Return on Equity
ROI - Return on Investment
ROIC - Return on Invested Capital
ROA - Return on Assets
SG&A - Selling, General & Administrative Expenses
SOTP - Sum-of-The-Parts
WACC - Weighted Average Cost of Capital

Dividends on American Depository Receipts (ADRs) and American Depository Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ **5-STARS (Strong Buy):**
Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★☆ **4-STARS (Buy):**
Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★☆☆ **3-STARS (Hold):**
Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★☆☆☆ **2-STARS (Sell):**
Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★☆☆☆☆ **1-STAR (Strong Sell):**
Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:
In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.

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Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

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Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of December 31, 2025

Ranking	North America	Europe	Asia	Global
Buy	43.5%	40.0%	42.5%	42.6%
Hold	45.1%	47.2%	53.6%	47.5%
Sell	11.4%	12.8%	4.0%	9.9%
Total	100.0%	100.0%	100.0%	100.0%

Analyst Certification:

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